

France: Budget threatens third government in three years

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【メール原文】

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France

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Budget risks toppling a third government in three years

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Short-term trajectory:

Long-term trajectory:

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A tough draft budget for 2027 risks toppling the government despite a widely held desire to avoid a political crisis before the presidential election next spring.

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To reduce the deficit to 5% of GDP, a draft sent to France's financial watchdog proposes a partial freeze on pensions, crossing a red line set by far-right leader and presidential front-runner Marine Le Pen, though the government can still revise the plan before presenting it to parliament by 6 October.

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Eurasia Group's basecase is a 40% probability that the budget will be adopted under the special powers granted under Article 49.3 of the constitution, with a 35% chance of a government collapse by the end of the year and a 25% chance of a budget rollover into the early months of 2027.

The budget process starting this week will be hazardous. It faces four pressures: a hostile parliament, a looming presidential election, a stuttering economy, and rising market pressure on its €3.5 trillion debt load. Two French prime ministers in the last two years have lost their jobs to budget rebellions in parliament. Their successor, Sebastien Lecornu, will probably not remain in office beyond the second round of the presidential election on 2 May. He is determined, nonetheless, to end on a successful note by forcing through a budget that will, in theory at least, begin the lengthy task of cleaning up France's state finances.

Lecornu's government, controlling at most 211 out of 577 seats in the National Assembly, will have to use its special powers under Article 49.3 of the constitution to pass a budget by the mid-December deadline. He will therefore face a series of opposition censure motions, beginning as early as next month.

Much will depend on the strategy adopted by Le Pen. She has said she is ready to accept an "imperfect" budget for 2027 rather than face the possibility of entering the Elysee Palace next spring in the midst of a financial crisis. The 139 seats that she controls in the assembly are enough to block left-wing censure motions and allow a budget to be passed under Article 49.3 without her deputies having to vote for it. Le Pen has, however, laid down a number of red lines, which include no tax hikes and no freeze in state

pensions, even for wealthier pensioners.

It is possible for the government to change the budget proposal before presenting it to parliament, probably on 1 October, five days before the official deadline. That would, however, leave Lecornu about €5 billion short of his projected year-on-year savings of €54 billion.

The 5%-of-GDP deficit target for 2027 is held over from 2026, after events pushed it out of reach. Spiralling energy prices since the US-Iran war broke out have combined with a heat wave in France this summer and an already struggling economy to increase the expected 2026 deficit to 5.4% of GDP. Growth, originally forecast at 1%, is projected to reach 0.5%. The 2027 budget would freeze most ministerial spending in areas other than defense and health at 2026 levels. It will roll over a planned one-off surtax on big businesses for a third year.

Given the absence of easy choices, Lecornu has decided to challenge Le Pen with a pensions freeze. In the draft sent to the financial watchdog, retired people with pensions exceeding €2,034 per month would be denied inflation-linked increases next year. Pensioners receiving €1,260 to €2,034 a month would obtain rises below inflation (now running at 2.4%). Lower pensions would get the full inflation increase.

The government will discuss the draft with all political parties this week and may revise it. Lecornu will argue that wealthier old people—spared most of the pain in earlier attempts to control the deficit—must finally contribute to efforts to clean up French finances. Pensions cost €422 billion a year, one quarter of all French state spending.

There is little room for maneuver. France is now paying more to issue debt than Italy or Greece—around 4.57% on its ten-year bonds, the highest in the Eurozone and around one percentage point more than Germany. Before the US-Iran war, the figure was 3.45%.

Lecornu will have to decide by the middle of next month whether to back down on pensions. To do so would hand a political victory to Le Pen, which would anger centrist presidential candidates Edouard Philippe and Gabriel Attal. A game of bluff and double bluff is therefore likely, with the outcome uncertain. One possible fallback position is to replace the partial freeze by scrapping or reducing a 10% income tax break for pensioners.

Eurasia Group believes that Lecornu and Le Pen have more reason to avoid a political and fiscal crisis than provoke one. Our basecase establishes 40% odds that the budget will be adopted under Article 49.3 by the end of the year, with a 35% chance of government collapse and a 25% chance of a budget rollover into the early months of 2027.

Happy to discuss,

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